EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Sta. Teresita was formerly known as barrio Namunit, the largest barrio of the Municipality of Buguey. It is located about 15 kilometers east of its mother town. It was created by virtue of Republic Act (RA) No. 3728, which was approved on June 22, 1963. It was inaugurated on August 27, 1963 as a regular Municipality. It has thirteen (13) barangays, with a total population of 16,578 and total household of 3,410. Its land area is approximately 16,698.93 hectares of plain, mountains and swampy lands rich with natural resources.

B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Sta. Teresita, Cagayan for CY 2023 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSAS), and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance, and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial position and financial performance of the Municipality of Sta. Teresita, Cagayan for the year ended December 31, 2023, with comparative figures for CY 2022, are as follows:

Particulars	2023	2022	Increase/(Decrease) Amount
Financial Position			
Assets	474,027,212.20	460,864,855.15	13,162,357.05
Liabilities	33,566,473.16	60,797,378.95	(27,230,905.79)
Govt. Equity	440,460,739.04	400,067,476.20	40,393,262.84
Financial Performance			
Income	180,968,176.05	174,123,307.54	6,844,868.51
Expense	141,274,475.85	134,080,235.50	7,194,240.35
Net Income	39,693,700.20	40,043,072.04	(349,371.84)

D. Operational Highlights

The major accomplishments of the Municipality for CY 2023, in terms of implementation of programs, projects and activities, are as follows:

Name of Program/ Project/ Activity	Amount
Rehabilitation of the Municipal Multipurpose Gym at Brgy. Centro East	P10,956,051.32
Rehabilitation of Public Market Buildings – Brgy. Centro East	500,000.00
Establishment of Multipurpose Center – Brgy. Centro East	5,000,000.00
Construction of Common Terminal – Brgy Centro East	998,577.54
Upgrading of Barangay Road – Brgy. Villa	350,000.00
Upgrading of Barangay Road – Brgy. Dungeg	636,875.58
Upgrading of Barangay Road – Brgy. Buyun	348,622.99
Improvement of Disaster Operations Center – Brgy. Centro East	1,000,000.00
Total	**P19,790,127.43**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Sta. Teresita, Cagayan for the year-ended December 31, 2023 due to: (1) non-conduct of the one-time cleansing of Property, Plant and Equipment account balances totaling P337,127,088.26; and (2) non-provision of depreciation expense to various Property, Plant and Equipment accounts amounting to P11,009,182.22.

F. Summary of Significant Audit Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. **The Financial Statements and Supporting Schedules of the Municipality for Calendar Year 2023 were not completely submitted to the Audit Team, contrary to Item 2.0 of COA Circular No. 2010-001 dated March 2, 2010 and Section 111 of PD 1445, thus, casting doubt on the accuracy, validity and reliability of the accounts presented and preventing the Audit Team in the timely audit and communication of the defects and/or deficiencies that may be noted therein.**

   We recommended that the Management require the Municipal Accountant and the Municipal Budget Officer to submit immediately the duly signed Statement of Appropriation, Allotment, Obligation and Balances (SAAOB) and Statement of

Management Responsibility and all the supporting schedules needed for the CY 2023 audit and adhere strictly with the provisions of Items 2.0 and 4.1 of COA Circular No. 2010-001 dated March 2, 2010 and Section 111 of PD 1445 for the timely conduct of audit and to avoid administrative sanctions.

2. **The Municipality did not submit the required schedules and documents necessary in the conduct of audit for CY 2023, contrary to Section 122(1) of Presidential Decree 1445, thus, preventing the Audit Team in the timely conduct of audit and the communication of the results thereof to the Management.**

   We recommended that the Management require the concerned officials and employees of the Municipality to immediately submit the required schedules and documents to the designated Focal Person, who will submit the same to the Audit Team. Moreover, we recommended that the Management strictly adhere with Section 122(1) of PD 1445 to avoid the sanctions as provided in paragraphs 2 and 3 thereof.

3. **Projects totaling to P3,800,000.00, which were appropriated and charged against the 20% Development Fund, are not among the allowed development projects provided in Sections 3.0 and 4.0 of DILG and DBM Joint Memorandum Circular No. 1 dated November 4, 2020, thus, negate the purpose for which the fund was established.**

   We recommended that the Management align the projects to be funded in the 20% Development Fund with the allowed priority projects, in compliance with the provisions of DILG-DBM Joint Memorandum Circular No. 2020-1 dated November 4, 2020, in order to contribute to the socio-economic development and environmental management of the Municipality.

G. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Disallowances					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Charges					
Prior Years	-	-	-	-	-

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	**-**	**-**

H. Status of Implementation of Prior Year's Audit Recommendations

Out of the eight (8) audit recommendations in the CY 2022 Annual Audit Report, two (2) were fully implemented, four (4) were partially implemented and two (2) were not implemented and reiterated in Part II of this Report.